

MODULE 4

HUMAN RESOURCE MANAGEMENT IN SMALL AND MEDIUM ENTERPRISES

DEFINITION OF SMEs:

- According to Workplace Employment Relations Surveys, UK, small, medium and large firms are those whose employees number 5-49, 50-249 and 250 and above respectively.
- However, in India, the small scale industries (SSIs) are defined in terms of investment limits in plant and machinery. The definition is derived from the original criterion used by Industries (Development and Regulation) Act, 1951 (IDRA).

WORLD BANK DEFINITION OF MSMES:

Firm Size	Employee	Asset (\$)	Annual Sales (\$)
Micro	<10	<10,000	<1,00,000
Small	<50	<3 Million	<3 Million
Medium	<300	<50 Million	<15 Million

IMPORTANCE OF SMES

SMEs play a vital role in the country's overall production networks and they are core to the economic growth of developing countries. The contributions of formal SMEs are **50% of total employment** and 33% of the national income of emerging economies. While including informal SMEs the percentages will be increased

Small and Medium Enterprises (SMEs) play a vital role in the economic development of any country. Their significance extends across multiple dimension

1. **Employment Generation:** SMEs are major job creators, especially in developing countries. They provide employment to a large section of the population, including semi-skilled and unskilled labor.
2. **Contribution to GDP:** SMEs contribute significantly to national income and GDP. In many countries, SMEs account for more than 40-50% of the total GDP.
3. **Encouragement of Entrepreneurship:** SMEs foster entrepreneurial spirit and innovation. They provide a platform for individuals to turn ideas into businesses with relatively low capital investment.

4. Regional Development: SMEs help in reducing regional imbalances by setting up units in rural and semi-urban areas. This leads to inclusive growth and development across different regions.

5. Support to Large Industries: SMEs act as ancillary units and vendors to large-scale industries. They supply parts, tools, and services, thus integrating into supply chains.

6. Export and Foreign Exchange Earnings: Many SMEs engage in export activities, especially in sectors like textiles, handicrafts, and IT services. They contribute to foreign exchange earnings and enhance trade balances.

7. Flexibility and Adaptability: SMEs are more agile and responsive to changing market conditions. They can easily adapt to new technologies and processes.

8. Innovation and Competition: SMEs promote innovation by experimenting with new products and business models. They create a competitive environment that leads to better quality and lower prices for consumers.

9. Skill Development: SMEs often invest in training their workforce, leading to skill development at the grassroots level.

HRM AND ORGANIZATION PERFORMANCE IN SME

- Schermerhorn described HRM as the “process of attracting, developing and maintaining a talented and energetic workforce to support organizational mission, objectives, and strategies”.
- According to the resource based view of management irrespective of the firm size, employees are a strategically important, indispensable resource to achieving an organization’s objective.
- Despite the critical role the human resource practices play in enhancing organizational efficiency, mainstream management has focused on investing the role of HRP in larger firm’s research, ignoring them in SME sector.
- While there has been very little research into the performance effects of HRM adoption on SMEs, a common thread in the arguments presented in prior studies on HRM in SMEs is that as SMEs grow, unsophisticated people management approaches become increasingly inadequate.
- When this occurs, owners and managers of SMEs may come to realize the importance of formally adopting HRM systems and the associated benefits of nurturing people’s creativity, and even the creation of competitive advantage and growth through people.

THE DIFFERENCE IN ADOPTION OF HRM: SMES AND LARGE FIRMS:

Most studies on HRM within SMEs are based on qualitative researches. This lack of information about human resources in SMEs is considered “problematic for theory, research and practice”. The studies indicate relatively far lesser use of professional HRM practices in SMEs than in larger firms. Some of the differences are:

HRM Aspect	SMEs (Small & Medium Enterprises)	Large Firms
Formality of HRM Practices	Informal, flexible, often ad hoc	Formal, structured, policy-driven
Presence of HR Department	Often absent; HR handled by owner/manager	Dedicated HR department with specialized teams
Recruitment & Selection	Personal networks, referrals, low-cost methods	Structured, multi-channel recruitment with assessments
Training & Development	On-the-job, limited budget	Formal training programs, continuous learning initiatives
Performance Appraisal	Informal, infrequent, subjective	Regular, objective, KPI-based appraisals
Compensation & Benefits	Basic pay, limited benefits	Structured pay scales, perks, and comprehensive benefits
HR Policies	Minimal, undocumented	Well-documented and standardized policies
Legal Compliance	Sometimes inconsistent or minimal	Strict adherence to labor laws and regulations
Use of Technology (HRIS)	Low usage, manual or basic tools	Advanced HR tech, HRIS, data analytics

Employee Engagement	Limited, informal activities	Formal strategies like surveys, events, wellness programs
Unionization	Rare or non-existent	More likely, especially in industrial sectors
Career Planning & Succession	Rarely practiced	Structured programs and internal mobility plans
Decision-Making in HR	Centralized, often owner-driven	Decentralized, data-driven, multi-level involvement
Talent Retention Strategies	Basic (e.g., loyalty, job security)	Advanced (e.g., career growth, rewards, recognition)
Diversity & Inclusion Initiatives	Generally limited or informal	Formal D&I policies and training programs

- Koch and McGrath observed that generally larger firms had more incidences of **HRM planning and formal training, and with higher level of overall HR sophistication in comparison with SMEs.**
- Westhead and Storey **found fewer probabilities for formal training for both managers and employees in a small firm.**
- In another study, based upon data obtained from **267 organizations, smaller companies were found to have less formalized performance appraisals, less likelihood of bonuses based on company productivity and less training than do larger companies.**
- **Larger firms were found to have more structured recruitment practices** than SMEs in another study.
- Another difference noted by Rainnie is **that small firms tend to provide more power to the managers, making the managerial prerogative largely unrestricted**
- A further area in HRM where SME practices vary from the larger firms is employment relations. Rain *et al* argue that employment relations in SMEs are characterized by ‘unwritten customs and the tacit understandings that arise out of the

interaction of the parties at work", with the close working proximity and mutual dependence of employer and employee leading to informal accommodation and flexibility.

INDIAN EXPERIENCE: HR CHALLENGES IN SMEs

- Being on a significant growth trajectory has made the sector vulnerable to a bunch of associated people challenges:
 - Intense competition
 - Termination of employment
 - Prevention of Sexual Harassment in the workplace
 - Gratuity and Provident Fund
 - Retaining Valuable employees
 - Lack of coherent acquisition capability including low salary, along with weak employer brand create serious constraints for the enterprises
 - Currently big businesses are making investments to relentlessly upgrade the skill and competencies of their critical employees, by tie ups with reputed foreign universities and engaging consultants.
 - Most SMEs do not have processes to systemically track employee performance, or conduct performance counseling for generating developmental inputs and capture employee insights for performance improvements.
 - Retaining employees at the junior level is a challenge in Indian SMEs. The junior levels mostly comprise of employees with functional skills such as electricians, or field sales people. This class is highly mobile and change jobs frequently and may even quit without a prior notice.

IMPACT OF WEAK ADOPTION OF HRM IN SMEs

- The lack of emphasis on human resources in SMEs was one of the main reasons for business failures.
- The most difficult problem for small business was finding competent workers, then motivating them to perform.
- Human resource efficiency and performance were the most significant reasons of any SME to be unsuccessful.

In India the problems of small enterprises related to HRM are –

- Employee Performance: Lack of structured performance evaluations may result in low productivity and unclear expectations.

- Talent Attraction & Retention Difficulty attracting skilled employees; high attrition due to limited growth and benefits.
- Training & Skill Development Limited or no training hampers employee skill advancement and reduces innovation potential.
- Workplace Culture Absence of formal policies can lead to inconsistent treatment and poor organizational culture.
- Compliance Risks Informal HR practices increase chances of legal issues due to non-compliance with labor laws.
- Employee Morale & Motivation Low engagement and recognition can result in demotivated staff and poor team spirit.
- Productivity & Efficiency Ineffective workforce management may cause delays, errors, and poor customer service.
- Succession Planning No clear career paths or succession plans may lead to leadership gaps during transitions.
- Conflict Management Lack of structured grievance redressal systems can escalate internal conflicts.
- Strategic Growth Without HRM support, aligning people strategies with business goals becomes difficult.
- Innovation Weak HR policies discourage employee initiative, innovation, and creativity.
- Brand Image High turnover and poor employee satisfaction can negatively affect employer branding.

FACTORS INFLUENCING THE ADOPTION OF HRM PRACTICES IN SMES:

1. Skill Requirements of Employees

- SMEs that rely heavily on **low-skilled workers** are **less likely** to implement formal HRM practices.
- Lack of perceived need for structured recruitment, training, or development.

2. Impact of National Policies

- SMEs that are part of **multi-site groups** or **non-family-owned** businesses are **more likely** to adopt HRM.
- National policy support, legal compliance, and external accountability drive adoption.

3. Customer Relations

- SMEs serving **larger clients or corporations** tend to adopt HRM practices to **meet standards** and maintain service quality.

- Structured HR supports consistency and professionalism in service delivery.

4. Product Strategy

- Enterprises with **greater financial and human resources** invest more in formal HR systems.
- Strategic planning and capability development are prioritized in such firms.

5. Innovation & Technology

- SMEs that focus on innovation and are **technologically adaptive** are more open to HRM.
- HR practices support talent acquisition, development, and innovation management

6. Service Sector Orientation

- Service-based SMEs, sensitive to **market, customer demands, and legal regulations**, are more likely to implement HRM.
- HRM helps in managing high-touch interactions and quality assurance

7. Proprietary Control and Governance

- The **governance model** (e.g., board-led vs owner-led) influences HRM decisions.
- More formal structures encourage formal HRM practices.

8. Trade Union Involvement

- SMEs that engage with **trade unions** are more likely to implement HRM.
- Pressure for structured labor relations and compliance leads to better HR systems.

FUTURE OF HRM IN SMEs:

The Future of Human Resource Management practices can be summarized as follows:

1. Performance Management Metrics

To find out which employee is supposed to be promoted and which employee needs to be trained, every organization undergoes the Performance Management process. But, in the traditional method of HR management, success metrics and employee rewards depend upon the goals completed under guidelines formulated by the top management. But the vision of companies towards the achievement of objectives has changed considerably these days. The HR department now also focuses on the growth and engagement of employees along with the achievement of objectives. This results in the individual growth of workers and increased productivity of the company side by side. Although businesses are evolving into digital workplaces, they are also giving equal importance to collaboration and teamwork.

2. Mobile Devices for Workforce Management

In the technological world, organizations are upgrading themselves according to the developments taking place. As smart phones are quite handy and, of course, more used than desktops, most cloud technologies are turning into mobile applications. The new generation HRMS and Payroll software is mobile-friendly and is available in the form of application that helps employees in staying engaged.

3. People Analytics Tool

With time, Human Resource managers have realized their ability in their organizations to expand the future of HRMS and have understood how well they can harness employee data. Modern Human Resource Management Software's people analytics tool has such a potential that it can have a major impact on Indian businesses, particularly sales organizations where the employees personality and behavioural skills play a major role.

Prior concerns of businesses like leave and attendance management are also taken care of along with the recording of data related to employee performance and time management.

HUMAN RESOURCE MANAGEMENT IN THE SERVICE SECTOR

- The Service Sector, also called tertiary sector, is **the third of the three traditional economic sectors**. ... Activities in the service sector include retail, banks, hotels, real estate, education, health, social work, computer services, recreation, media, communications, electricity, gas and water supply.
- Industrial manufacturing is a **major growth sector** for the Indian economy with diverse companies including those engaged in manufacturing of machinery and equipment, electrical and metal products, cement, building and construction material, rubber and plastic products and automation technology products.

SERVICES SECTORS INCLUDED IN THE NATIONAL INDUSTRIAL CLASSIFICATION 2008

- Wholesale and retail trade; repair of motor vehicles and motorcycles
- Transportation and storage
- Accommodation and food service activities
- Information and communication
- Financial and insurance activities
- Real estate activities
- Professional, scientific and technical activities
- Administrative and support service activities
- Public administration and defence; compulsory social security

- Education
- Human health and social work activities
- Arts, entertainment and recreation
- Other service activities
- Activities of households as employers; undifferentiated goods and services producing activities of households for own use
- Activities of extraterritorial organisations and bodies

EMERGENCE OF THE SERVICE SECTOR:

The services sector is not only the dominant sector in India's GDP, but has also attracted significant foreign investment, has contributed significantly to export and has provided large-scale employment. India's services sector covers a wide variety of activities such as trade, hotel and restaurants, transport, storage and communication, financing, insurance, real estate, bases services, community, social and personal services, and services associated with construction

The Government of India recognises the importance of promoting growth in services so and provides several incentives across a wide variety of sectors like health care, tourism, education engineering communications, transportation, information technology, banking, finance - management among others.

The Government of India has adopted few initiatives in the recent past, some of these follows:

1. Under Union Budget 2021-22, the government allocated Rs. 7,000 crore (US\$ 963.97) to the Bharat Net programme to boost digital connectivity across India.
2. FDI limit for insurance companies has been raised from 49% to 74% and 100% for intermediates
3. On January 15, 2021, the third phase of Pradhan Mantri Kaushal Vikas Yojana (PMKVY) was launched in 600 districts with 300+ still courses. Spearheaded by the Ministry of Skill Development and Entrepreneurship, the third phase will focus on new-age and COVID-related skills PMKVY 3.0 aims to train eight lakh candidates.
4. In January 2021, the Department of Telecom, Government of India, signed an MoU with the 5G technologies, telecom security and submarine optical fibre cable system
5. November 4, 2020, the Union Cabinet, chaired by the Prime Minister, Mr Narendra Modi, approved to sign a memorandum of understanding (MoU) between the Ministry of Communication and Information Technology and the Department of Digital, Culture, Media and Sports (DCMS) of United Kingdom Government to cooperate in the field of telecommunications information and communication technologies (ICTs).

IMPLICATIONS FOR HUMAN RESOURCE MANAGEMENT IN SERVICES SECTOR

The area of implications of HRM in services sector are:

1. Development of Workplace Policies

Every organization has policies to ensure fairness and continuity within the organization. One of the jobs of HRM is to develop the verbiage surrounding these policies. In the development of policies, HRM, management, and executives are involved in the process. For example, the HRM professional will likely recognize the need for a policy or a change of policy, seek opinions on the policy, write the policy, and then communicate that policy to employees. Some examples of workplace policies might be the following:

- Discipline process policy
- Vacation time policy
- Dress code
- Ethics policy
- Internet usage policy

2. Compensation and Benefits Administration

HRM professionals need to determine that compensation is fair, meets industry standards, and is high enough to entice people to work for the organization. Compensation includes anything an employee receives for his or her work. In addition, HRM professionals need to make sure the pay is comparable to what other people performing similar jobs are being paid. This involves setting up pay systems that take into consideration the number of years with the organization, years of experience, education, and similar aspects. Examples of employee compensation include the following:

- Pay
- Health benefits
- 401(k) (retirement plans)
- Stock purchase plans
- Vacation time
- Sick leave
- Bonuses
- Tuition reimbursement

3. Retention

Retention involves keeping and motivating employees to stay with the organization. Compensation is a major factor in employee retention, but there are other factors as well. Ninety percent of employees leave a company for the following reasons:

- Issues around the job they are performing
- Challenges with their manager
- Poor fit with organizational culture
- Poor workplace environment

4. Training and Development

Once we have spent the time to hire new employees, we want to make sure they not only are trained to do the job but also continue to grow and develop new skills in their job. This results in higher productivity for the organization. Training is also a key component in employee motivation. Employees who feel they are developing their skills tend to be happier in their jobs, which results in increased employee retention. Examples of training programs might include the following:

- Job skills training, such as how to run a particular computer program
- Training on communication
- Team-building activities

5. Dealing with Laws Affecting Employment

Human resource people must be aware of all the laws that affect the workplace. An HRM professional might work with some of these laws:

- Discrimination laws
- Health-care requirements
- Compensation requirements such as the minimum wage
- Worker safety laws
- Labor laws

6. Worker Protection

Safety is a major consideration in all organizations. Oftentimes new laws are created with the goal of setting federal or state standards to ensure worker safety. Unions and union contracts can also impact the requirements for worker safety in a workplace. It is up to the human resource manager to be aware of worker protection requirements and ensure the workplace is meeting both federal and union standards. Worker protection issues might include the following:

- (i) Chemical hazards
- (1) Heating and ventilation requirements
- (ii) Use of "no fragrance" zones
- (iv) Protection of private employee information

DIFFERENCES BETWEEN SERVICES SECTOR AND THE MANUFACTURING SECTOR

Services Sector	Manufacturing Sector
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The service sector is the part of the economy that provides various services	The manufacturing sectors are industries transforming goods, mainly manufacturing, industries in their own right, but they also concern the repair and installation of industrial equipment and subcontracting operations for third parties.
The output of a service sector such as consultancy, training or maintenance.	Manufacturing sectors produce physical goods that customers can see and touch.
Service firms do not produce a service unless a customer requires it, although they design and develop the scope and content of services in advance of any orders.	Manufacturers can produce goods without a customer order or forecast of customer demand.
Service firm recruits people with specific knowledge and skills in the service disciplines that it offers.	Manufacturers can automate many of their production processes to reduce their labor requirements, although some manufacturing organizations are labor intensive, particularly in countries where labor costs are low.
Service firms do not require a physical production site. The people creating and delivering the service can be located anywhere	Manufacturers must have a physical location for their production and stock holding operations.

DISTINGUISH BETWEEN HRM PRACTICES IN SERVICES SECTOR AND MANUFACTURING SECTOR

HRM Practices in Services Sector	HRM practices in Manufacturing Sector
In the service sector companies, the HRM function plays a more important role as the chief sources of competitive advantage in these companies are the human resources.	The HRM function in the manufacturing industries is often concerned with payroll, administrative work and mediating between the management and the workers
The HRM function in the services sector has to ensure that the human resources are enabled and fulfilled to actualize their potential	The manufacturing companies are still in the process of orienting their strategies towards the Resource Based View and in many cases, they might not be able to do so since the mode of operation is fundamentally different from that of the services sector.
The services sector runs on human resources.	The manufacturing sector uses machines and equipment as the key aspect of production.
The services sector has only white collar roles which mean that labor arbitration and mediating between organized unions and the management is virtually non-existent.	The manufacturing companies have classification of employees into blue collar and white collar roles which creates a barrier to the way in which they are treated and they in turn demand their rights.

HUMAN RESOURCE MANAGEMENT AND SERVICE QUALITY CORRELATION

- HRM practices facilitate and enhance the internal development of employees such as training and career development.
- The relationship between HRM practices and service quality have examined by several Studies. However, HRM practices play a critical role in the implementation of Service Quality .
- HRM practices refer to how human resources are managed suggested that, to survive with the challenges efficiently, HRM practices has been considered as one of the most 'critical factors in making and enhancing competitive advantage.
- The Critical role of job satisfaction will take place in this study by examine the effect of job satisfaction on service quality, in addition the mediation role of job satisfaction in the relationship of HRM practices and service quality.
- The human capital is the most key successes factors in the business environment. Indeed, to the gain benefits of this factors organizations consider employees as an internal customer & employees satisfaction become a measurement of organizational performance and a critical factor for the implementation of service quality.
- HRM practices are expected to influence job satisfaction which in turn will improve service quality.

SOME SPECIFIC INDUSTRIES IN SERVICES SECTOR

The specific industries in services sector are as follows:

1. Tourism Industry

Tourism is one of the major engines of economic growth in most parts of the world including India. The total number of tourism jobs in the country increased from 38.6 million in 2002-03 to 69.8 million in 2017-18. The hotels and restaurants sector is an important sub-component of the tourism sector. Availability of good quality and affordable hotel rooms plays an important role in boost-ing the growth of tourism in the country. Presently there are 1593 classified hotels with a capacity of 95,087 rooms in the country. The hotels sector comprises various forms of accommodation, namely star category hotels , heritage category hotels, timeshare resorts, apartment hotels, guest houses, and bed and breakfast establishments.

2. Shipping Industry

Shipping plays an important role in the economic development of the country, especially in India's international trade. The Indian shipping industry also plays an important role in the energy security of the country, as energy resources, such as coal, crude oil, and natural gas are mainly transported by ship. Further, during crisis situations, Indian ship-ping contributes to the uninterrupted supply of essentials and can serve as second line of defence.

3. Storage Services Industry

The warehousing services sector plays an important role in the economy of the country. Warehousing services are an important cog both in bound logistics, as raw materials, parts, and stores have to be stocked, inventory control maintained, and materials which do not meet security of the country, as energy resources, such as coal, crude oil, and natural gas are mainly transported by ship. Further, during crisis situations, Indian ship-ping contributes to the uninterrupted supply of essentials and can serve as second line of defence.

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4. Telecom and Related Services Industry

The opening of the telecom sector in India has not only led to rapid growth but also helped great deal towards maximization of consumer benefits as tariffs have been falling across the boat as a result of increasing competition with the telecom service. The Internet, which is mother growing mode of communication, is a worldwide system of computer networks. Broadband often called "high speed" Internet, because it usually has a high rate of data transmission. Broadband subscribers grew from 0.18 million in 2010 to 10.71 million as at the end of November 2019

5. IT Services Industry

India has gained a brand identity as a knowledge economy due to its IT sector. The IT industry has four major components: IT services, business process outsourcing (BPO), engineering services and R&D, and software products. The growth in the services sector in India has been lot by the IT sector which has become a growth engine for the economy, contributing substantially to increases in the GDP, employment, and exports. The Indian IT industry has registered robust growth since 2004-05. According to NASSCOM, the year 2010-11 is characterized by broad-based growth across mature and emerging verticals. The overall Indian IT revenue has grown to US \$63.7 billion in 2009-10 and an estimated US \$76.1 billion in 2010-11, translating into a CAGR of 22.5 per cent from 2004-05 to 2010-11.

TRADE UNIONS IN SERVICES SECTOR

Trade Unions in India are registered and file annual returns under the Trade Union Act (1926). Statistics on Trade Unions are collected annually by the Labour Bureau of the Ministry of Labour, Government of India. As per the latest data, released for 2012, there were 16,154 trade unions which had a combined membership of 9.18 million (based on returns from 15 States out of a total of 28 States and 9 Union Territories). The Trade Union movement in India is largely

divided along political lines and follows a pre-Independence pattern of overlapping interactions between political parties and unions. The net result of this type of system is debated as it has both advantages and disadvantages. Indian National Trade Union Congress is the Largest Trade union of India. An employer and a recognised trade union interact with the workplace in a number of ways, as set out below:

1. Trade unions: negotiating collective agreements

If you recognise a trade union in your workplace, you will probably have agreed with the union to bargain with it about the terms and conditions of employment of those workers who fall within a defined bargaining unit

2. Trade unions: Informing and consulting

Under certain circumstances, you must inform and consult with representatives of a recognized trade union about

- Collective redundancies see redundancy, the options
- Transfers of business ownership se responsibilities to employees if you buy or sell a business
- Occupational and personal pension schemes see know your legal obligations en pensions

Health and safety - see consult your employees on health and safety. However, you could enter a voluntary agreement with a trade union to inform and cool the union about broader business and workplace issues on a regular, ongoing basis. The union may want to set up a joint consultative committee specifically for this purpose.

3. Trade unions: representing workers at disciplinary and grievance hearing

Employees and other workers have the right to be accompanied at a disciplinary or grievance hearing. They can choose to be accompanied by a co-worker or a union representative. Often, the union representative, will be a workplace representative who is also a co-worker.

MODELS OF UNION STRATEGIES

Various models of Trade Union strategies are as follows:

1. **Craft Unions:** The membership of such unions is drawn from among workers employed in a particular craft or trade or allied crafts or trades or occupations irrespective of the organization or the industry they belong to. Such employees are craft conscious and usually professionals or non-manual employees. The Ahmadabad Weavers' Union is an example that can be cited in this regard.
2. **Industrial Unions:** In industrial unions, membership is open to all types of workers engaged in any one industry or a group of industries or service, that is, on industry-wide basis, for example, Rashtriya Mill Mazdoor Sangh, Mumbai.

3. **Labour Unions:** In these unions, membership is open to all workers irrespective of their occupation, skill or industry, the philosophy being that all workers have common status and a common need for mutual help. Labour unions refer to both craft and industrial unions.
4. **General Unions:** General unions believe in the solidarity of the working class. Hence, their membership is open to workers of different skills and trades engaged in different industries.
5. **Blue-Collar Workers' Unions:** Blue-collar workers' unions constitute of employees usually performing operative jobs. They usually operate machines in the production and allied departments. Blue-collar workers constitute the bulk of membership of trade unions in the organised sector
6. **White-Collar Workers' Unions:** Such unions usually comprise office staff or who work off the shop floor and perform desk jobs or provide service over the counter or any such other job. White-collar category includes executives, managers, professionals, administrators, supervisor, clerks and the like. We come across such unions in banks, service sector, insurance companies, BPOs, software organizations, Central and state government offices, and so on. Their members being educated and matured are aware of the capacity to pay off their organizations and, therefore, are more reasonable while they prepare their charter of demands.

IMPORTANT QUESTIONS:

- 1) Define the term of SME.
- 2) What is Service Sector?
- 3) Give the meaning of Manufacturing Sector.
- 4) What is Service Quality Correlation?
- 5) What is Trade Union?
- 6) Discuss in brief about Human Resource Management and Performance in SMEs.
- 7) Explain about Adoption of Human Resource Management in SMEs and Large Firms.
- 8) Discuss the impact of Weak Adoption of Human Resource Management in SMEs.
- 9) Explain various factors influencing the Adoption of Human Resource Management Practices in SMEs.
- 10) Discuss about the future of Human Resource Management in SMEs.
- 11) Explain the Human Resource Management in the Service Sector.
- 12) Discuss the Emergence of the Services Sector.
- 13) Explain about the implications for Human Resource, Management Function.
- 14) Differences between Services Sector and the Manufacturing Sector.
- 15) Difference in Human Resource Management Practices in Services and Manufacturing Sectors
- 16) Explain about Human Resource Management and Service Quality Correlation.
- 17) Discuss the Specific Industries in Services Sector.
- 18) Explain about the Trade Unions in Services Sector.
- 19) Discuss various Models of Union Strategies.